CIO House View

Asset allocation guidance · October 2026 · published 15 Oct 2026

Summary

Growth is slowing but positive, inflation is near the upper end of its range, and policy rates are expected to ease gradually over the next twelve months. We keep overall risk close to neutral, lean toward quality, add duration modestly, and use cash only for planned needs.

Asset class	Stance
Equity	Neutral
Fixed income	Overweight
Alternatives	Overweight
Cash	Underweight
US large cap	Neutral
US small/mid cap	Overweight
International developed	Overweight
Emerging markets	Neutral
Treasuries	Overweight
Core bonds	Neutral
Municipal bonds	Overweight
Corporate bonds	Neutral
High yield	Underweight
CDs	Neutral
Private equity	Overweight
Real estate	Neutral
Hedge funds	Neutral
Cash & sweep	Underweight

Asset groups

Equity — Neutral

We are neutral on equities overall. Earnings are holding up, but valuations leave little room for disappointment, especially in US mega-cap growth. We prefer quality balance sheets and add to international developed and US small/mid cap, funded from US large cap.

Fixed income — Overweight

We are overweight fixed income. Starting yields are the highest in over a decade and give bonds a cushion against equity drawdowns. Extend duration modestly toward the intermediate part of the curve and favor high-quality municipal bonds for taxable clients in top brackets.

Alternatives — Overweight

We are overweight alternatives for qualified clients. Private markets offer an illiquidity premium for long-horizon investors, and diversifying strategies lower dependence on the stock-bond correlation.

Cash — Underweight

We are underweight cash. Yields on cash will fall as policy rates ease, and excess cash has historically lagged a balanced portfolio. Hold planned spending needs for the next twelve months; invest the rest in stages.

Equity

US large cap — Neutral

Neutral. Trim mega-cap technology into strength: concentration in the largest names is near a record, and their earnings growth is converging with the rest of the market. Rebalance gains toward equal-weight and quality exposures.

US small/mid cap — Overweight

Overweight. Valuations are attractive versus large cap on forward earnings, and smaller companies benefit most as borrowing costs come down. Prefer profitable companies; avoid the most indebted.

International developed — Overweight

Overweight. An earnings recovery is under way in Europe and Japan, valuations are well below the US, and a softer dollar adds to returns for US investors.

Emerging markets — Neutral

Neutral. Dispersion across countries is high; prefer broad, diversified exposure over single-country bets, and size positions for higher volatility.

Fixed income

Treasuries — Overweight

Overweight. Lock in 2–5 year Treasury yields before policy rates fall. Treasuries are the most reliable diversifier when equities sell off.

Core bonds — Neutral

Neutral. Core bonds remain the anchor of the fixed-income allocation; keep them at target and use them as the funding source for tactical moves.

Municipal bonds — Overweight

Overweight. Tax-equivalent yields are high for top brackets, and credit quality across general-obligation issuers is strong. Ladders of 1–10 years suit known spending needs.

Corporate bonds — Neutral

Neutral. Spreads are tight versus history, so the extra yield is modest; stay high quality and avoid lengthening credit duration.

High yield — Underweight

Underweight. Spreads do not pay for the default risk later in the cycle; reduce exposure and redeploy into high-quality bonds.

CDs — Neutral

Neutral. Useful for known spending needs and for matching liabilities; reinvest maturities into the ladder or core bonds rather than cash.

Alternatives and cash

Private equity — Overweight

Overweight for qualified clients with long horizons and liquidity elsewhere. Pace commitments over several vintages.

Real estate — Neutral

Neutral. Income is attractive, but values remain sensitive to rates; prefer diversified, listed exposure.

Hedge funds — Neutral

Neutral. Use multi-strategy funds as diversifiers, sized so that fees do not overwhelm the diversification benefit.

Cash & sweep — Underweight

Underweight. Hold planned needs only; sweep balances above the planned reserve should be invested in stages.

All content in this document is made up for an Atlas console prototype. It does not reflect the views of any firm.